ction No:

AOU
الجامعة العربية المفتوحة
Arab Open University

ID: _____

Name: _____

Faculty of Business Studies

B207B

Shaping Business Opportunities II

Mid-term Exam/Version C

Spring 2024-2025

9-April-2025

Number of Exam Pages: 9 (including this cover sheet)	**Time Allowed: 2 hours**

ke **FIVE (5)** minutes to read all instructions carefully before attempting to write.
bile phones must be in "SWITCHED **OFF"** mode throughout the examination.
s is a **CLOSED** book examination. NO documents of any kind are allowed.
s Mid-term exam will be marked out of 100 marks and is worth 30% of the total mark of the B207A cours
NOT write your answers in pencil except for graphs/sketches.
dents are **NOT** allowed to use any type of dictionary or mobile phone during the examination.
work crossed through will **NOT** be marked.
form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question No.	Mark	Marker's Signature
Q1		
Q2		
Q3		

mments (FOR OFFICIAL USE ONLY):

Total: ____ / 100

Final Mark: ___

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QUESTION ONE (30 MARKS)

- *You should attempt to answer **ALL** questions in this section.*

Case Study:

Ali owns a business that exports handmade carpets to Europe. Recently, the value of his country's currency decreased compared to the euro. As a result, European customers now find Ali's carpets more affordable, leading to an increase in sales. However, at the same time, Ali must pay more for the raw materials he imports from abroad.

Q1a. (20 Marks)

Explain the following: Foreign Exchange Market, Exchange Rates, Appreciation and Depreciation.

Also, examine the impact of currency appreciation and depreciation on exports and imports.

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Q1b. (10 Marks)

Based on the case above, how does the decrease in the value of Ali's country's currency affect his exports? Why does Ali have to pay more for imported raw materials when his currency depreciates?

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QUESTION TWO (35 MARKS):

In the context of Transfer Pricing, discuss the Unitary Taxation with Profit Apportionment (Distribution). Support your answer with a proper example to show how it works. In addition, explain the benefits and the challenges of Unitary Taxation.

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QUESTION THREE (35 MARKS):

In the context of raising finance, explore the following forms:

- **Equity finance, types of shares and the evaluation of shares**
- **venture capital and private equity**
- **Angel investors.**

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